Playbook: Insurance Requirements

NORTHWIND SYSTEMS LEGAL PLAYBOOK ## SECTION 8: INSURANCE REQUIREMENTS

8.1 Scope and Application This Section 8 governs the mandatory insurance coverage maintained by Northwind Systems, Inc. ("Northwind") and the insurance verification requirements applicable to Enterprise Customers, Vendors, and Channel Partners. All contract reviews conducted by the Northwind legal team (comprising Sarah Jenkins, Managing Counsel; Marcus Vance, Senior Commercial Counsel; and Priya Patel, Privacy & Technology Counsel) shall enforce the thresholds and fallback positions set forth herein.

8.2 Preferred Position (Model Clause Language)

Northwind’s standard enterprise agreements shall incorporate the following insurance clause without modification:

> 8.2.1 Insurance Coverage. Each party shall, at its own expense, maintain and keep in full force and effect throughout the term of this Agreement and for a period of two (2) years thereafter, the following insurance policies with financially stable insurers rated A- VII or better by A.M. Best:
>
> (a) Commercial General Liability (CGL) insurance on an occurrence basis with limits not less than $2,000,000 per occurrence and $4,000,000 in the aggregate for bodily injury, property damage, and personal and advertising injury.
>
> (b) Technology Professional Liability / Errors & Omissions (E&O) insurance, including cyber liability and network security coverage, with limits not less than $5,000,000 per claim and in the aggregate, covering acts, errors, omissions, and system breaches arising out of or in connection with the services provided under this Agreement.
>
> (c) Statutory Workers' Compensation as required by the jurisdiction in which the services are performed, and Employer's Liability insurance with limits not less than $1,000,000 each accident, disease, and policy limit.
>
> (d) Excess / Umbrella Liability insurance on a follow-form basis with limits not less than $5,000,000 per occurrence and in the aggregate, in excess of the underlying CGL and Employer’s Liability limits.
>
> 8.2.2 Certificates of Insurance. Upon request, each party shall provide the other with a certificate of insurance evidencing the coverages required above. Northwind shall be named as an additional insured under the CGL policy with respect to liability arising out of the counterparty's operations, where commercially available. Each policy shall contain a waiver of subrogation in favor of the non-insuring party.

8.3 Fallback Position

If a counterparty objects to the Preferred Position, the legal team is authorized to drop to the following minimum thresholds without internal escalation, provided the contract aggregate value meets or exceeds $100,000 ARR:

> 8.3.1 Reduced Fallback Thresholds.
>
> (a) CGL: $1,000,000 per occurrence / $2,000,000 aggregate.
>
> (b) Tech E&O / Cyber: $2,000,000 per claim and aggregate.
>
> (c) Employer's Liability: $1,000,000 flat limit.
>
> (d) Excess / Umbrella: $2,000,000 limit.
>
> 8.3.2 Notice and Cure Periods for Cancellation. Policies shall include an endorsement requiring the insurer to provide at least thirty (30) days' prior written notice of cancellation or material reduction in coverage to Northwind. If a counterparty's policy lapses or is cancelled, the counterparty shall have a cure period of ten (10) business days from receipt of written notice to reinstate coverage and provide updated certificates.

8.4 Walk-Away Position

Legal counsel shall reject any contract or counterparty proposal that violates the following absolute floors. If a counterparty insists on terms below these thresholds, negotiations must cease, and the matter escalated to Sarah Jenkins for formal deal termination:

> 8.4.1 Absolute Walk-Away Thresholds.
>
> (a) Tech E&O / Cyber Liability: Any requirement below $1,000,000 per claim/aggregate.
>
> (b) Aggregate Insurance Cap Relative to Fees: Any demand that Northwind's total insurance policy limits exceed two times (2x) the Annual Recurring Revenue (ARR) payable under the applicable Order Form for enterprise accounts under $250,000 ARR.
>
> (c) Failure to Provide Notice of Cancellation: Refusal to provide at least fifteen (15) days' notice of policy cancellation.

8.5 Specific Numeric and Categorical Thresholds

1. Monetary Floor for E&O Coverage: Absolute minimum acceptable limit for Technology Professional Liability / Cyber Liability is $1,000,000, regardless of contract size.
2. Cap as a Multiple of Fees: Maximum agreed aggregate insurance limit cap relative to contract value shall not exceed 3x ARR for mid-market accounts ($100,000 to $500,000 ARR).
3. Cancellation Notice Period: Standard notice of cancellation must be at least thirty (30) days; absolute walk-away floor is fifteen (15) days.
4. Cure Period for Lapsed Coverage: Standard cure period to remedy lapsed or non-compliant insurance certificates is ten (10) business days.

8.6 Named Deviations Requiring Escalation

The following specific deviations from the Playbook are prohibited without explicit, written pre-approval from the designated executive:

1. Self-Insurance / Captive Insurance Arrangements: Any counterparty seeking to satisfy insurance requirements via self-insurance or a corporate captive rather than an admitted carrier rated A- VII or better. Escalate to: Sarah Jenkins, Managing Counsel.
2. Mutual Waiver of Insurance Obligations for SaaS Vendors: Any agreement where the counterparty requests that Northwind waive all cyber liability insurance requirements on the grounds that Northwind is a "low-risk SaaS provider." Escalate to: Marcus Vance, Senior Commercial Counsel.
3. Waiver of Cyber E&O Tail Coverage (Run-off): Any acquisition target, joint venture partner, or transitioning vendor requesting a reduction in the post-termination tail coverage period below the mandatory two (2) year requirement. Escalate to: Priya Patel, Privacy & Technology Counsel.

8.7 Worked Examples: Acceptable Counterparty Language

Example A.1 (Acceptable - Moderate Reduction) > "Vendor shall maintain Commercial General Liability with limits of $1,000,000 per occurrence and $2,000,000 in the aggregate, and Technology Professional Liability / Cyber Security insurance with limits of $2,000,000 per claim and in the aggregate. Such policies shall be issued by carriers with an A.M. Best rating of at least A-VII and shall provide thirty (30) days' prior written notice of cancellation to Northwind." *Rationale:* Meets all fallback thresholds and maintains acceptable notice periods and carrier ratings.

Example A.2 (Acceptable - Custom CGL Structure) > "Customer and Northwind each agree to maintain Commercial General Liability ($1,000,000 limit) and Excess Liability ($2,000,000 limit) providing combined general liability protection of $3,000,000 per occurrence. Certificates of insurance evidencing such coverage shall be provided upon written request within ten (10) business days." *Rationale:* Combines primary and excess to meet the $3,000,000 aggregate requirement; acceptable under fallback rules.

8.8 Worked Examples: Unacceptable Counterparty Language

Example U.1 (Unacceptable - Below Absolute Floor) > "Northwind and Customer agree that each party maintains self-insured retentions adequate to cover their respective operational risks. Neither party shall be required to maintain commercial third-party liability or cyber E&O insurance exceeding statutory minimums." *Rationale:* Violates Section 8.4 (Walk-Away Position) regarding self-insurance and eliminates mandatory cyber E&O limits. Requires escalation to Sarah Jenkins.

Example U.2 (Unacceptable - Inadequate Notice & Limits) > "Provider shall maintain E&O insurance in the amount of $500,000 per claim. Policies may be cancelled by the insurer or the insured upon ten (10) days' written notice to the certificate holder." *Rationale:* Fails the absolute monetary floor ($1,000,000 minimum for E&O) and violates the minimum cancellation notice period (15 days absolute floor). Must be rejected.